Answer-to-Question-_1_

Direct or Derivative

Any suit would have direct standing since the board is recommending a transaction in which stockholders would have their shares cashed out.

If this were a derivative standing case, there would be a strong case for demand futility. As discussed below, the VCs are likely not independent of Zest under *Zuckerberg* so a majority of the board would be conflicted creating demand futility.

Legal

The plaintiffs might argue this transaction is ultra vires because it provides non-ratable benefits to Class A shares, essentially an illegal dividend. This argument fails for two reasons. First, the board is legally empowered to deal in its own shares preferentially toward certain shareholders (*Cheff*). Second, it is not the board but Buras, who owes no fiduciary duties, offering the non-ratable amounts (*Ringling*, *Rich*). It is true the board is waiving the poison pill and recommending the offer, but these are both actions clearly within the board's powers. It is then just a question of the "twice-tested" framework.

Who?

The plaintiffs would sue both the board and Zest as controlling stockholder for breach of the duty of loyalty, *Revlon*, and possibly *Unocal* or *Hewlett Packard*. Note that the board's consultation with outside advisors and analysis appears clearly sufficient under *Van Gorkham* so there is no duty of care claim.

Note the board is the only one taking any action while Zest is the only one receiving non-ratable benfits. They are likely to argue that the board is beholden to Zest and thus breached by prioritizing his interests (*Trados*). Reaching Zest will be more difficult because Zest recused himself and is not formally taking any action. They might argue that, since the transaction requires that Zest tender his shares, they want to block Zest from doing so. Or they might argue that Zest's recusal was insufficient since he has practical influence over the board.

The plaintiffs would also sue Buras under an aiding and abetting theory (see below).

Controlling Stockholder

With 500M of 700M votes, Zest is a formal controlling stockholder (144(e)(2)(a)) and thus owes fiduciary duties to fellow stockholders (*c.f. Sinclair*).

This is likely a controlling stockholder transaction. Zest would receive $12.50 more than other stockholders per share. On the other hand, Zest is not "on both sides" as in *Sinclair* or *Tesla* since Zest is not affiliated with Buras. Zest might argue that he is being given a "control premium" since class A shares hold the real voting control over the corporation. However, while class B shares have voting control, they are intended to share ratably in economic benefits with the other shares. Zest can argue that prior to the IPO he held 25% economic power and this transaction results in him receiving 25% of the consideration, but Zest gave up some of that economic power for voting power. So, the greater payout probably makes

this a controlling stockholder transaction.

Another argument would be that Zest is conflicted because, as in *Mindbody*, he is beholden to Buras due to informal links. The plaintiffs will argue that Zest is pursuing a quick sale because he wants to cashout. Unless there are other links, this is unlikely to succeed.

If this is a controlling stockholder transaction, it is also clearly a "take private transaction" since it would result in cashing out the minority shareholders. Technically, the board would only be allowing Buras' bid to succeed, but the recommendation is likely to implicate the board in the transaction.

Assuming this is a take private transaction, it needs to meet both of the cleansing conditions under *MFW* and 144. Unlike in *Tesla*, a special committee was formed, but it's ambiguous whether the special committee was given the power to reject the tranasction. Assuming they were, this committee likely meets the requirements for cleansing assuming the other two directors, who seem disinterested (see below), voted in favor.

The bigger issue is the requirement for approval by a vote of a majority of the minority stockholders. Note 144 removes the *ab initio* conditioning requirement. However, as planned, the tender offer would not involve a stockholder vote since it is merely a tender offer. We might argue that, because the tender offer is conditioned on a majority of the Class B shareholders accepting on the front end, it is effectively a shareholder vote. However, this appears to be a coercive two tier tender offer. Buras says he is going to offer the "same price" on the back-end, but he hasn't said whether that will be all cash. Given the uncertainty, the plaintiffs will argue that shareholders will feel coerced to accept (*c.f. Unocal*). Even if it is all cash, the courts will be sensitive to the fact that this isn't formally a shareholder vote.

The plaintiffs would also have a strong argument that this vote was not "fully informed" because Zest's short-term desire for a sale and the considered possiblity of an asset sale were not disclosed (*Mindbody*).

We should put the decision to waive the poision pill to a fully informed, uncoerced vote of the class B shareholders. Note that originally 60% of the class B shares were held by insiders who are arguably interested. If this is still the case, we would need a vote of the outsider class B shareholders.

Conflicted Director

This could also be considered a conflicted director transaction. However, unlike in cases like *Tesla*, Zest recused himself. The plaintiffs would argue that, by requiring a minimum of $3M, Zest unacceptably interfered with the negotaitions, resulting in an offer much more favorable to Zest. Therefore, they should argue the recusal was not effective.

However, unlike in *Tesla*, the board formed a special committee to negotiate the deal. The plaintiffs argue that the special committee was corrupted through non-independence from Zesk. The special committee was empowered to hire its own advisors and appears to have engaged in rigorous analysis. The weakest point is likely the presence of one of the VCs, a party the court might see as beholden to Zest because of the longterm association. Note that VC appointed directors are not conflicted merely because they are appointed by their VC (144(d)(3)). However, during the IPO, the VCs allowed Zest to retake majority voting power even though they had the right to appoint a majority of the directors. Zest had their "trust." Under cases like *Tesla* and *Zuckerberg*, these ties are probably sufficient to show that the VC is

conflicted.

A conflicted director transaction, however, is cleansed by approval of a majority of the disinterested directors on a special committee. Assuming the board determined in good faith that the directors appointed to the special committee were disinterested, then the inquiry is whether the a majority of the disinterested members of the committee vote in favor of the deal. Under 144(d)(2), there is now a presumption (*c.f Oracle*) in favor of directors being disinterested for publicly traded firms under exchange rules, which these directors presumpably meet. Therefore, assuming both of the remaining two directors vote in favor, the transaction is cleansed as a conflicted director transaction.

Entire Fairness

If the transaction is a take private transaction and a controlling stockholder transaction, then entire fairness review likely applies. Under entire fairness, the plaintiffs would argue that both the process and the price were unreasonable because the special committee favored Zest's interests over other stockholders by changing the deal structure to meet his $3B target. This resembles other situations in which a dominant party has adopted a particular price target (*Van Gorkham*, *Mindbody*) and found a deal to match it. The board will argue that Buras' deal was a good intrinsic value for the corporation since it exceeded $12B and that they put in reasonable efforts to find alternative bids. Since Zest's approval is necessary, they were justified in finding a way to structure the transaction to receive it.

In any case, the predominant inquiry will be price. As a holder of shares with superior voting rights, Zest is essentially collecting a larger portion of the control premium than other stockholders. Unlike in *Trados*, he has no contractual right to this greater premium. The case resembles *Cheff* where the board paid off a takeover artist through greenmail, but Zest is not a corporate raider. He is the company's controlling stockholder and CEO. Therefore, the court is unlikely to allow him to use his voting power to receive favorable treatment.

Interestingly, the board is arguably maximizing the value going to Class B shareholders. If Class B shareholders are the analogue of common stockholders and Class A shareholders of preferred, *Trados* might be read as requiring the board to maximize the payout to Class B shareholders. Under the circumstances, Zest's insistence on $3M and the absence of higher bids means that class B shareholders cannot receive a higher price. However, *Trados* also looks suspiciously on the decision to favor one class of stockholders over another merely due to their ability to control the corporation. This transaction is directly at odds with that principle.

The key consideration is that the price for class B shareholders is only the highest possible assuming Zest does not approve ratable distribution. While Zest has no obligation to approve a merger that provides him compensation below his view of intrinstic value (see *Unocal* below), the fact that Buras is willing to offer more for class B shares under an asset purchase shows that the transaction cannot be entirely fair (*c.f. Riverstone*). Even if there is no feasible path currently to a higher price, the transaction would result in awarding less to class B shares than their entirely fair value.

Revlon

This transaction would result in a change of control (*QVC*) and so clearly triggers *Revlon*, though note the argument above that this is just a recommendation and not an actual change in control. Under heightened scrutiny, Zest's recusal and the creation of the special committee will help in an argument that the process was reasonable, but the court is likely to worry that, as in *Mindbody*, this was a process tainted by Zest's insistence on a $3B payout. Note post-merger *Corwin* would not apply since there is no planned cleansing vote.

The plaintiffs might argue that this case is analogous to *Revlon* because Buras is effectively offering two different bids: one ratably distributed to the shareholders and the other a two tiered coercive offer meant to placate Zest. Favoring the one bid over the other is arguably analogous to favoring Forstmann over Perelman in *Revlon* itself. Nevertheless, the court would not force Zest to accept the ratably distributed offer (*see, e.g., Airgas*) so the two tiered offer may be the best the board can do.

The analysis would mirror that of entire fairness, but with perhaps less suspicion. As seen in cases like *Mindbody*, this may not be worth much so the court would probably block the transaction under *Revlon*. As in *Revlon*, Zest is using his governance power to prevent the board from accepting an alternative deal on the table which would provide a larger payout to others so that he can get a non-ratable benefit. While novel, this argument is strong. It's unclear that *Revlon* can be waived by a vote of the minority stockholders prior to a transcation closing (*c.f. Corwin*), but such a vote would probably heavily weigh in favor of approval.

Unocal

The plaintiffs here might argue that the board is breaching *Unocal* because it is failing to protect the stockholders from coercion. However, *Unocal* does not require the board to take defensive measures, but rather only to waiving them.

However, the plaintiffs might argue for heightened scrutiny based on the decision not to waive the poison pill (*Moran*) to allow for a merger or the failure to approve the asset sale. However, the board can simply note that these transactions have no likelihood of success because of Zest's opposition. Zest's opposition might itself be a breach of *Unocal* because Zest is trying to use his voting power to secure a premium for his shares, but this is probably too far. Cases like *Airgas* show that the court will not a corporation to go forward with a transaction that provides a lower consideration than they think just. Zest thinks his shares are intrinsically worth $3B and the court will not replace his judgement with its own.

Hewlett-Packard

The plaintiffs might argue that this transaction violates *Hewlett-Packard* because the board is buying Zest's votes by paying him a premium. If we see the $12.5B as the "corporate treasury," then approving this transaction would amount to using $750M of that treasury to buy off Zest. Note that Buras making the payment and stockholders are free to buy each other's votes (*Ringling*), but the plaintiffs will argue that the board's approval implicates them in the scheme such that this is effectively a vote buying scheme.

This likely pushes *Hewlett* too far. That case is about protecting the corporate franchise, not preventing discriminatory dealings with stockholders.

The plaintiffs might argue that the decision to do a tender offer rather than asset purchase avoids a shareholder vote impermissibly under *Schnell* and *Blasius*. However, those cases likely do not apply because the board is not trying to prevent exercise of the corporate franchise and is simply structuring the transaction in a way that would make it likely to receive approval.

Aiding and Abetting

The plaintiffs will also try to reach Buras by alleging that he is aiding and abetting the board's breach of fiduciary duty (*RBC*) by agreeing to the non-ratable distribution of benefits. Buras arguably has *scienter* since he knows that Zest is not entitled to a greater share of the economic benefits and is yet actively participating in a scheme to provide him with that.

However, under *Mindbody*, claims of aiding and abetting against counterparties bear a particularly heavy burden because of the adversarial nature of the negotiating process. Buras is not misleading or manipulating the board, but instead responding with a plan to meet their parameters. This is just ordinary negotiating activity and surely does not constitute aiding and abetting.

Conclusion

The transaction should be conditioned on approval by a vote of a majority of the outsider class B stockholders, excluding both VCs and employees. This would ensure cleansing under *MFW* and likely push the court to find the transaction reasonable under *Revlon*.

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----------ANSWER-1-ABOVE----------
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----------ANSWER-2-BELOW----------
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Answer-to-Question-_2_

144(d)(2) appears to repudiate the analysis in *Oracle*. This abrogation reflects several themes of Delaware law: the emphasis on commercial reasonableness, the legislature's sensitivity to corporate intrests, evolution to meet changing corporate structure, and the delicate balance between judicial oversight and private ordering.

In *Oracle*, the court found the special litigation committee not independent due to non-specific cultural entanglements between the committee members and the board defendants. This analysis was at odds with cases like *Zuckerberg* where the court required more particularized allegations. 144(d)(2) codifies and goes further than *Zuckerberg* by creating a presumption that directors, who meet the generous rules of national stock exchanges, are disinterested and requiring "substantial and particularizes facts" to rebut the presumption. It seems to preserve the "material interest" or "material relationship" test from *Zuckerberg*

while requiring further that the facts be "substantial" (perhaps casting doubt on *Tesla*).

Above all, 144(d)(2) shows sensitivity to commercial reasonableness, something *Oracle* lacks. *Oracle* is a reasonable opinion based on common-sense intuitions about huma nature. Human beings are not *homo economicus* and are sensitive to cultural ties. The problem with this rule is not its common sense, but the fact that it cannot be predicted *ex ante*. Delaware law is persistently concerned to create safe harbors to allow boards acting in good faith to avoid trial as in *Corwin* and *MFW*. 144(d)(2) fulfills this necessity by adopting requirements whose application can be predicted *ex ante*.

144(d)(2) also reflects judicial sensitivity to corporate interests. Cases like *Oracle* embarass established actors in the Delaware ecosystem by invalidating the measures taken by competently counseled boards. As with 102(b)(7) and *Van Gorkham* or 122(18) and *Moelis*, the Delaware legislature often steps in to repudiate judicial decisions that disrupt the delicate equilibrium of Delaware corporate law. Delaware law generally rejects formal purity in favor of protecting its near monopoly on corporate practice. Viewed cynically, one might think this is a product of entrenched corruption. Viewed more optimistically, one could see this as law being sensitive to the needs of the actors who must live under it.

144(d)(2) also reflects Delaware law's sensitivity to changing corporate conditions. *Oracle* may have been sensible in the days of *Bayer* or even *Van Gorkham* where boards were generally insiders, but it makes significantly less sense in the days of professional boards elected by mostly institutional investors. As Delaware has become increasingly confident in voting as a mechanism for disciplining boards, measures like 144(d)(2) reflect the principle that the courts will largely leave them to run corporations. Modern boards are just much less in need of judicial second-guessing under tests like *Oracle* and, as with cases like *Airgas* and *Corwin*, Delaware law updates to meet the moment.

Furthermore, 144(d)(2), by deferring to the requirements of national exchanges, embodies the policy of Delaware law in favor of private ordering. With a few important exceptions, Delaware law allows parties to override statutory defaults. As seen in LLC cases like *Elf* and *HCP*, Delaware law generally defers to private parties over judicial doctrine. Corporations are not as flexible as LLCs, but 144(d)(2) effectively defers to the requirements established by national exchanges, a measure that shows confidence in the rules set by the marketplace rather than the judiciary. While the *Oracle* test, which explicitly incorporated "judicial business judgement," relied heavily on judicially crafted doctrines, 144(d)(2) displaces those doctrines with privately created rules.

One should not overstate the change created by 144(d)(2). There is still ambiguity about what constitutes a "material relationship" and 144(e)(8) leaves a significant role for the judiciary to determine what would influence a director's judgement. Perhaps, the courts might find cultural ties as in *Oracle* material. So, the dance between courts and legislature is likely unfinished.